

How we built this

In conversation with Traian Visinescu, founder and chief executive of Relay Medical.

Sprinque's Juan Espinosa spoke to Relay Medical founder and chief executive Traian Visinescu about transforming the medical procurement industry.

Traian founded Relay Medical to solve the inefficient and out-dated way that hospitals and clinics buy equipment and disposables.

The problems in the industry were obvious. Hospitals and clinics spend millions on equipment and disposables each year, but much of the sector is still using paper catalogues and spreadsheets. It is a system that needs a lot of administration and an army of expensive middlemen.

Traian discovered that for every euro spent on equipment or disposables, 60 cents goes to overhead. And the inefficiencies add more in indirect costs. Hundreds of surgeries are cancelled each week because of missing supplies — the right needle or screw isn't available.

Why do these problems still exist in a world where you can tap your phone and a pizza arrives at your door in 10 minutes?

With Relay Medical, Traian set out to fix this costly process with an online solution that would automate most of the procurement tasks and model buying patterns to make sure that medical providers never run out of stock.

The payments piece was the final part of the puzzle that has allowed the business to scale.

Here are some of the key takeaways from the conversation:

Payment terms are crucial. During the pandemic, medical supplies were in such high demand that Relay was able to grow without offering payment terms. But it quickly became clear that not offering credit was an obstacle. As the world has normalised and Relay pursued more growth, buyers are demanding it, so Relay worked with Sprinque to create a white label

solution, Relay Pay. The relationship between Relay and their customers stayed as it is, with Sprinque powering payments in the background

Cash flow is king when you're a start-up. Offering 90-day payment terms on bulk purchases of expensive medical supplies was capital-intensive, stressful and made it difficult to raise finance. Working with Sprinque has moved this risk off Relay's books. They get paid when they issue the invoice, without having to worry about late payments.

Solving payments was a multiplier. As well as freeing up cash flow, working with Sprinque meant that Relay could focus on adding value for their customers. The quality of conversations they were having improved, which feeds back into better product development and higher quality growth.